

ECONOMICS PAPER 1

(Mock Test 30)

Time allowed: 40 minutes

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 30 questions in this paper. Choose the **BEST** answer for each question.

1. Miss Tang spent \$8,000 on buying a computer two years ago. Suppose she can resell it for \$2,000. Alternatively, she needs to spend \$3,000 on upgrading the computer hardware before she can continue to use it. What is her cost of continuing to use the computer?
 - A. \$2,000
 - B. \$3,000
 - C. \$5,000
 - D. \$10,000

2. Karson is a secondary school student. He is considering which extracurricular activity to join. He has several options and his order of preference is as follows.

First option: Joining the choir
Second option: Joining the astronomical society
Third option: Joining the soccer team

Which of the following factors would be **LEAST** likely to affect the cost-benefit analysis for Karson's choice?

 - A. The choir changes their practice venue to somewhere farther away from Karson's home.
 - B. The astronomical society purchases a more advanced telescope for stargazing.
 - C. The soccer team invites a famous football player for demonstrations and coaching.
 - D. Karson's best friend quits the soccer team.

3. An electrical appliance retail chain provides free delivery service for any purchase of or above a specified amount. The delivery service is _____ because _____.
 - A. an economic good ... the marginal cost of providing the delivery service is positive
 - B. an economic good ... the delivery service can satisfy customers' wants
 - C. a free good ... the delivery service is free of charge
 - D. a free good ... more is not preferred

4. Which of the following are related to the 'for whom to produce' problem?
 - (1) The government announced that only target groups were eligible for free seasonal influenza vaccines.
 - (2) The government launched an electronic platform that allows parents to submit admission applications and make school choices.
 - (3) The government introduced several measures to prevent unauthorised transfers of user permits for recreation and sports facilities.
 - A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

5. Cyrus plans to set up a retail firm selling sports equipment in Hong Kong. He is considering setting up a sole proprietorship or a private limited company. Which of the following is a possible reason for him to choose to set up a sole proprietorship?
- A sole proprietorship has wider sources of capital compared to a private limited company.
 - A sole proprietorship is subject to a lower profits tax rate compared to a private limited company.
 - A sole proprietorship does not need to disclose its accounting information to the public while a private limited company needs to do so.
 - A sole proprietorship is not a legal entity while a private limited company is a legal entity.
6. Study the following information about firm A and firm B.

	Firm A	Firm B
Number of owners	20	100
Continuity	If an owner goes bankrupt, the firm has to be dissolved.	If an owner goes bankrupt, the firm can still exist.

Based on the above table, which of the following descriptions of firm A and firm B is **CORRECT**?

- Firm B cannot keep its accounting information confidential while firm A can.
 - Owners of both firm A and firm B enjoy limited liability.
 - Firm A has a higher risk of being taken over by others than firm B.
 - Firm B earns a higher profit than firm A.
7. The following diagram shows some traffic signs on a road.



The instructions conveyed by the traffic signs are _____ while the traffic signs are _____.

- private goods ... private goods
 - private goods ... public goods
 - public goods ... public goods
 - public goods ... private goods
8. When a key opinion leader (KOL) produces a video introducing tourist attractions in Hong Kong, he hires different people for different roles, such as actors, photographers, scriptwriters and makeup artists.
- This is an example of _____ division of labour because _____.
- simple ... each employee is responsible for one job
 - simple ... each employee cooperates with the others
 - complex ... each employee has their own specialty
 - complex ... each employee is involved in a different stage of video production

9. In August 2022, the government installed a floating photovoltaic system mock-up (浮式太陽能發電模擬系統) at Shing Mun River in Sha Tin, as part of the pilot trial of the system. It is expected that more photovoltaic panels will be installed in 2023. The electricity generated will mainly be used by nearby government facilities.

In the above case, the sunlight in the production of solar energy belongs to _____ because _____.

- A. capital ... the amount of sunlight cannot be increased by human efforts
- B. capital ... cost is involved in using sunlight
- C. land ... it is a natural resource endowed by nature
- D. land ... the sunlight collected by human effort becomes a man-made resource used in the production process

10. Refer to the following news article.

In order to attract more overseas talent to work in Hong Kong, the government launches the Top Talent Pass Scheme (高端人才通行證計劃). Eligible people such as those with annual income reaching HK\$2.5 million or above in the year immediately preceding the date of application, or graduates of designated universities, are allowed to stay in Hong Kong for 24 months.

Which of the following would likely occur after the implementation of the above scheme?

- (1) Hong Kong's labour productivity will increase.
 - (2) The geographical mobility of graduates from designated universities will increase.
 - (3) The occupational mobility of Hong Kong workers will increase.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

11. Refer to the following information about a firm.

	Year 1	Year 2
Number of workers	15	20
Number of working hours per worker per day	8	7.5
Total output (units)	600	675

Which of the following is a possible reason for the change in the average labour productivity of the firm?

- A. Worker morale improves due to the reduction in working hours.
- B. The firm uses more capital goods.
- C. The firm does not provide adequate training for new workers.
- D. The wage payment method is changed from time rate to piece rate.

12. The table below shows the input-output relationship of a firm.

Machinery (units)	Labour (units)	Marginal product of labour (units)
5	1	4
5	2	6
5	3	8
5	4	10
5	5	2

When the quantity of labour is _____ units, the average product of labour is the highest and the total product is _____ units.

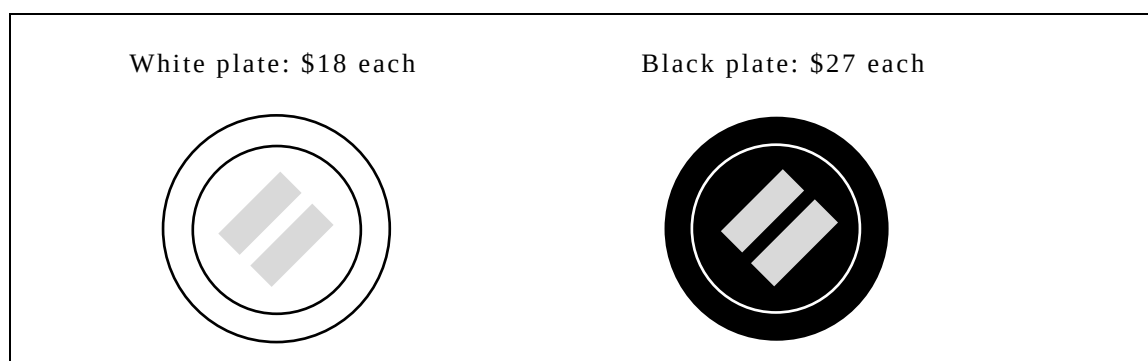
- A. 4 ... 10
 - B. 4 ... 28
 - C. 5 ... 10
 - D. 5 ... 28
13. The table below shows the cost-output relationship of a price-taking firm.

Output (units)	2	3	4	5
Average variable cost (\$)	3	4	5	6

Suppose the profit-maximising output level is 4 units and the average fixed cost at 4 units is \$2. The profit and the producer surplus of the firm are _____ and _____ respectively.

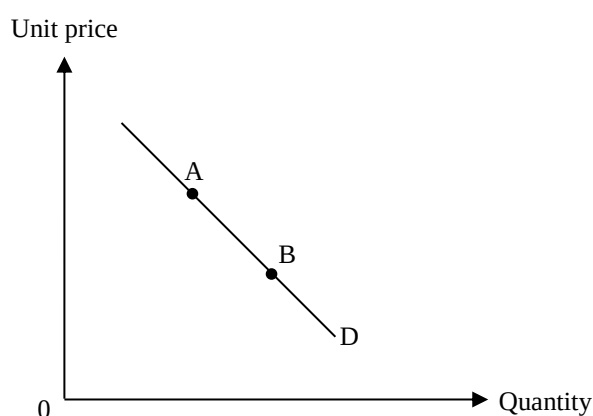
- A. \$2 ... \$10
 - B. \$2 ... \$12
 - C. \$4 ... \$10
 - D. \$4 ... \$12
14. Mr. Cheung runs a leather product store selling homemade leather products. Which of the following will reduce its profit-maximising output?
- A. The cost of importing leather increases.
 - B. The rental of the store increases.
 - C. Leather products become more popular.
 - D. The wage rate of part-time workers decreases.

15. A conveyor belt sushi restaurant uses different colored plates to represent sushi of different prices. The diagram below shows their prices.



Suppose the conveyor belt sushi restaurant raises the prices of all dishes by \$2. According to the law of demand, which of the following statements is/are **CORRECT**?

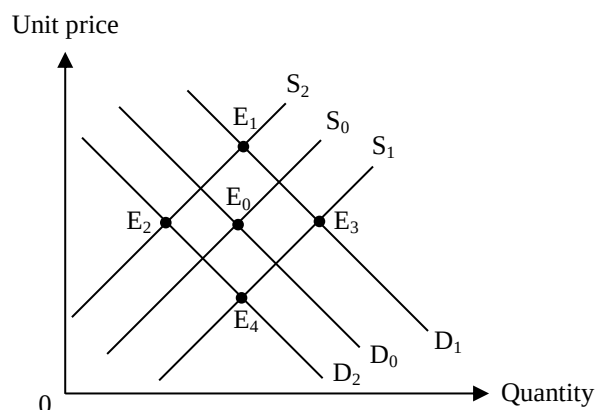
- (1) Less white-plate sushi will be sold.
 - (2) The ratio of white-plate sushi sold to black-plate sushi sold will decrease.
 - (3) The total revenue of the restaurant will increase.
- A. (1) only
 - B. (1) and (2) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
16. Which of the following is most likely to increase the demand for second-hand cars?
- A. People expect the price of second-hand cars to fall.
 - B. The interest rate on vehicle loans falls.
 - C. Car manufacturers lower the price of new cars.
 - D. More second-hand cars are scrapped due to equipment failure.
17. Refer to the demand curve (D) for air services between Hong Kong and Japan below.



Which of the following reasons can best explain the change of the equilibrium position from A to B?

- A. Japan cancels all the epidemic prevention measures restricting entry.
- B. The number of foreign passengers travelling to Japan via connecting flights through Hong Kong decreases.
- C. The price of fuel for aircraft falls.
- D. A design flaw is found in a certain model of aircraft which is used in providing air services between Hong Kong and Japan. Flights using that model of aircraft have to be suspended.

18. The following is the demand-supply diagram of beef. The initial equilibrium point is E_0 .



Suppose the price of cattle feed falls. At the same time, the production cost of plant-based meat (food made from plant materials that tastes like meat) drops due to improved production technology. The new equilibrium point will be _____.

- A. E_1
 - B. E_2
 - C. E_3
 - D. E_4
19. The demand for _____ can be regarded as a derived demand for _____.
- A. bread ... flour
 - B. public healthcare services ... private healthcare services
 - C. hair stylists ... hairdressing services
 - D. mobile network services ... smartphones
20. Good X and good Y are in joint supply. When the price of good Y decreases, the equilibrium price of good X changes by 15%, while the quantity transacted decreases from 210 units to 190 units.
- Which of the following best explains the above change?
- A. Good X has many close substitutes.
 - B. There are many barriers for firms to enter the market of good X.
 - C. Firms producing good X have spare production capacity.
 - D. Good X is a habit-forming good.
21. Refer to the following news article.

During the peak season of influenza, the average waiting time for the services of accident and emergency departments increases. The government urges citizens with mild illnesses to seek medical treatment at private hospitals or clinics.

As a result, the price of private medical services has changed by 5% and the quantity transacted has changed by 10%. Which of the following statements is **CORRECT**?

- A. The demand for private medical services is elastic.
- B. The demand for private medical services is inelastic.
- C. The supply of private medical services is elastic.
- D. The supply of private medical services is inelastic.

22. Refer to the following supply and demand schedules for good X.

Unit price (\$)	6	8	10	12	14
Quantity demanded (units)	28	24	20	16	12
Quantity supplied (units)	20	20	20	20	20

If the government imposes a price ceiling on good X at \$6,

- A. the quantity transacted will increase by 8 units.
- B. consumers' total expenditure will decrease by \$80.
- C. there will be a surplus of 8 units of good X in the market.
- D. the demand for good X's complements will decrease.

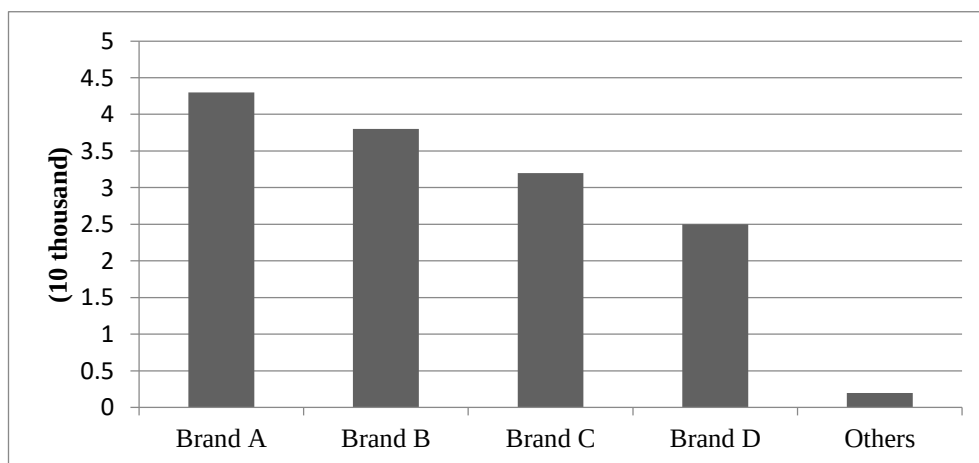
23. Refer to the following supply and demand schedules for good X. Given that the supply curve of good X is upward sloping.

Unit price (\$)	Quantity demanded (units)	
	Before an increase in demand	After an increase in demand
10	10	16
8	12	18
6	14	20
4	16	22
2	18	24

After the demand for good X increases, the equilibrium price of good X increases from \$4 to \$8. Which of the following policy/policies can the government implement to restore the quantity transacted of good X to its original level?

- (1) impose a quota of 16 units on good X
 - (2) impose a price floor on good X at \$10
 - (3) impose a per-unit tax of \$6 on good X
 - (4) provide a per-unit subsidy of \$4 to the producers of good X
- A. (1) only
 - B. (2) only
 - C. (1), (2) and (3) only
 - D. (2), (3) and (4) only

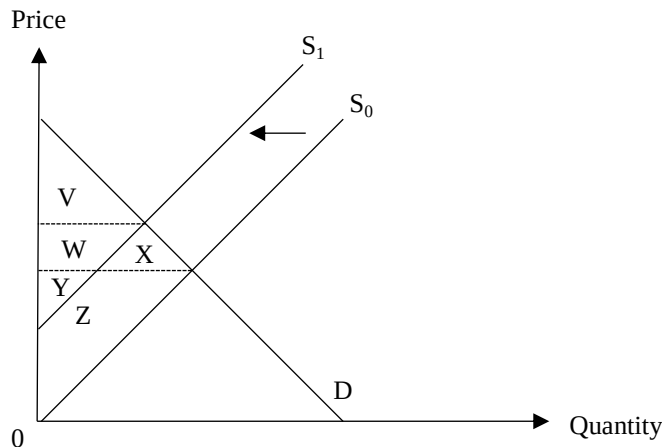
24. The figure below shows the sales data of different brands of smartphones in Country A in 2022.



Based on the above information, we can conclude that the market structure of smartphones in Country A in 2022 can be regarded as _____ because _____.

- A. oligopoly ... different smartphone brands engaged in non-price competition
- B. oligopoly ... several dominant sellers controlled the smartphone market in Country A
- C. monopolistic competition ... smartphones produced by different brands were heterogeneous products
- D. monopolistic competition ... the smartphone sellers were interdependent in their marketing strategies

25. The following diagram shows the demand and supply curves of good X.



The production cost of good X increases and the supply curve of good X shifts from S_0 to S_1 . The change in consumer surplus equals _____ and the change in total social surplus equals _____.

- A. area (W + X) ... area (X + Z)
- B. area (W + X) ... area (V + W + Y)
- C. area (V + W + X) ... area (X + Z)
- D. area (V + W + X) ... area (V + W + Y)

26. Refer to the following supply and demand schedules for good X.

Unit price (\$)	10	9	8	7	6	5	4
Quantity demanded (units)	1	2	3	4	5	6	7
Quantity supplied (units)	7	6	5	4	3	2	1

Suppose the government sets a quota of 2 units on good X. After the imposition of the quota, the consumer surplus will be _____ while the producer surplus will be _____.

- A. \$1 ... \$9
 - B. \$6 ... \$9
 - C. \$1 ... \$6
 - D. \$6 ... \$6
27. A country imposes a per-unit tax on good X. When the demand for good X increases, which of the following statements are **CORRECT**?
- (1) The producer surplus will increase.
 - (2) Total tax revenue will increase.
 - (3) The gap between marginal benefit and marginal cost will be widened.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

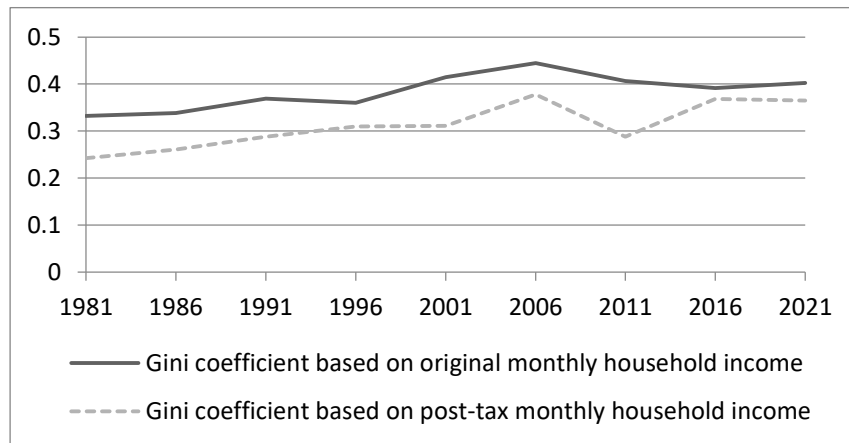
28.

The government issues a penalty ticket to a restaurant for poor sanitation, which has caused a rodent infestation (鼠患) that seriously affects residents living nearby. If the poor sanitary conditions continue, the restaurant will face a higher penalty.

With reference to the above information, which of the following statements is **CORRECT**?

- A. The restaurant should give compensation to residents living nearby.
- B. After the restaurant is fined, efficiency will be restored.
- C. Fining the restaurant is the only way to improve efficiency.
- D. Fining the restaurant increases the marginal private cost of the restaurant and improves efficiency.

29. The following diagram shows the Gini coefficient of Country A.



From the diagram above, we can conclude that

- A. income for high-income households increased while income for low-income households decreased between 1981 and 2006.
- B. the government cut the amount of transfer payments to the poor between 2016 and 2021.
- C. Country A's tax system was likely to be progressive between 1981 and 2021.
- D. High-income households paid the least amount of tax.

30. Which of the following would help equalise opportunities?

- (1) The government provides tablet computers to students from families with financial difficulties so they can participate in online classes.
 - (2) The government distributes consumption vouchers to all people aged 18 or above.
 - (3) The government provides an allowance to employers who employ people with disabilities.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

END OF PAPER